1. Award: **0.55 points**

Each of the following would be considered property, plant, and equipment or an intangible asset *except*:

- A patent.
- A building.
- → Inventories.
- An oil well.

Inventory is classified as a current asset.

References

Multiple Choice	Learning Objective: 10-01 Identify the various costs included in the initial cost of property, plant, and equipment, natural resources, and intangible assets.

Processing math: 100%

2. Award: **0.55 points**

The following financial information is from Cook Company:

Accounts Payable	$ 55,000
Land	90,000
Inventory	10,500
Accounts Receivable	7,500
Equipment	8,000
Deferred Revenue	58,500
Short-Term Investments	20,000
Notes Receivable (due in 8 months)	45,500
Interest Payable	2,000
Patents	75,000

What is the total amount of property, plant, and equipment assuming the accounts above reflect normal activity?

- → $98,000.
- $90,000.
- $110,000.
- $165,000.

$90,000 (Land) + $8,000 (Equipment) = $98,000.

References

Multiple Choice Learning Objective: 10-01 Identify the various costs included in the initial cost of property, plant, and equipment, natural resources, and intangible assets.

Processing math: 100%

3. Award: **0.55 points**

The initial cost of land would include all of the following *except*:

- → Property taxes for the current period.
- Recording fees.
- The cost of grading.
- Title search costs.

Property taxes for the current year would be reported as an operating expense.

References

Multiple Choice	Learning Objective: 10-01 Identify the various costs included in the initial cost of property, plant, and equipment, natural resources, and intangible assets.

Processing math: 100%

4. Award: 0.55 points

The following expenditures relate to machinery purchased by Callabasas Manufacturing:

Purchase price	$ 16,000
Transportation costs	800
Installation	500
Testing	2,000
Repair of part broken during shipment	300

At what amount should Callabasas capitalize the machinery?

- → $19,300
- $17,600
- $17,300
- $19,600

$16,000 (purchase price) + $800 (transportation costs) + $500 (installation) + $2,000 (testing). The repair of $300 should be expensed.

References

Multiple Choice

Learning Objective: 10-01 Identify the various costs included in the initial cost of property, plant, and equipment, natural resources, and intangible assets.

Processing math: 100%

5. Award: **0.55 points**

A company incurred the following costs associated with the purchase of a piece of land that it will use to re-build an office building:

Purchase price of the land	$ 400,000
Sale of salvaged parts already on land	20,000
Demolition of the old building	30,000
Ground-breaking ceremony (food and supplies)	1,500
Land preparation and leveling	7,500

What amount should be recorded for the purchase of the land?

- $439,000
- → $417,500
- $437,500
- $419,000

$400,000 (Purchase price) − $20,000 (Sale of salvaged parts) + $30,000 (Demolition) + $7,500 (Land preparation and leveling) = $417,500. The $1,500 in costs for the ground-breaking ceremony should be expensed.

References

Multiple Choice

Learning Objective: 10-01 Identify the various costs included in the initial cost of property, plant, and equipment, natural resources, and intangible assets.

Processing math: 100%

6. Award: **0.55 points**

Assets acquired in a lump-sum purchase are valued based on:

- The present value of their future cash flows.
- → Their relative fair values.
- Their cost plus the difference between their cost and fair values.
- Their assessed valuation.

The allocation of the purchase price is made in proportion to the individual assets' relative fair values.

References

Multiple Choice	Learning Objective: 10-02 Determine the initial cost of individual property, plant, and equipment and intangible assets acquired as a group for a lump-sum purchase price.

Processing math: 100%

7. Award: **0.55 points**

Cello Corporation purchased three patents at a total cost of $960,000. The appraised values of the individual patents were as follows:

Patent 1	$ 600,000
Patent 2	400,000
Patent 3	200,000

The costs that should be assigned to Patents 1, 2, and 3, respectively, are:
rev: 09_30_2023_QC_HETS-16850

- $320,000; $320,000; $320,000.
- → $480,000; $320,000; $160,000.
- $600,000; $400,000; $200,000.
- All of these answer choices are incorrect.

Total appraised value = $600,000 + $400,000 + $200,000 = $1,200,000.
Patent 1: $960,000 × ($600,000 ÷ $1,200,000) = $480,000
Patent 2: $960,000 × ($400,000 ÷ $1,200,000) = $320,000
Patent 3: $960,000 × ($200,000 ÷ $1,200,000) = $160,000

References

Multiple Choice	Learning Objective: 10-01 Identify the various costs included in the initial cost of property, plant, and equipment, natural resources, and intangible assets.

Processing math: 100%

8. Award: 0.55 points

On October 1, Year 1, a company purchased a piece of land by agreeing to pay the seller $450,000 in two years. If the company had borrowed the money from a bank to pay the seller immediately, management estimates the bank would have required interest of 9%. For what amount should the company record the land on the date of purchase (rounded to the nearest dollar)?

Note: Use appropriate factor(s) from the tables provided. (PV of $1 (opens in a new tab), and PVA of $1 (opens in a new tab))

- → $378,756
- $450,000
- $369,000
- $412,844

The land is recorded at the fair value of the noninterest-bearing note. The note's fair value equals the present value of the payment two years from the date of purchase, using a discount rate of 9% ($378,756 = $450,000 × 0.84168).

References

Multiple Choice	Learning Objective: 10-03 Determine the initial cost of property, plant, and equipment and intangible assets acquired in exchange for a deferred payment contract.

Processing math: 100%

9. Award: 0.55 points

On October 1, Year 1, a company purchased a piece of land by agreeing to pay the seller $450,000 in two years. If the company had borrowed the money from a bank to pay the seller immediately, management estimates the bank would have required interest of 9%. Calculate the amount of interest expense the company would record for its year ending December 31, Year 1 (rounded to the nearest dollar).

Note: Use appropriate factor(s) from the tables provided. (PV of $1 (opens in a new tab), and PVA of $1 (opens in a new tab))

- $40,500
- $9,289
- $10,125
- → $8,522

The land is recorded at the fair value of the noninterest bearing note. The note's fair value equals the present value of the payment two years from the date of purchase using a discount rate of 9% ($378,756 = $450,000 × 0.84168). Interest for the year = $378,756 × 9% × $\frac{3}{12}$ = $8,522.

References

Multiple Choice	Learning Objective: 10-03 Determine the initial cost of property, plant, and equipment and intangible assets acquired in exchange for a deferred payment contract.

Processing math: 100%

10. Award: **0.55 points**

Wolf Computer exchanged a machine with a book value of $40,000 and a fair value of $45,000 for a patent. In addition, Wolf paid $6,000 as part of the exchange. Wolf should recognize:

- → A gain of $5,000.
- A gain of $11,000.
- A loss of $1,000.
- No gain or loss.

The gain of $5,000 is computed as the fair value of the asset given ($45,000) minus its book value ($40,000). The gain can also be computed as the “plug” that balances debits and credits.

The patent is debited for an amount equal to the fair value of the assets given of $51,000 ($45,000 machine given + $6,000 cash given). The company then removes the book value of the old machine ($40,000) and credits cash for the amount paid ($6,000). The difference is a credit to gain of $5,000.

References

Multiple Choice	Learning Objective: 10-06 Determine the initial cost of property, plant, and equipment and intangible assets acquired in exchange for other nonmonetary assets.

Processing math: 100%

11. Award: 0.55 points

Wolf Computer exchanged a machine with a book value of $40,000 and a fair value of $35,000 for a patent. In addition, Wolf received $6,000 as part of the exchange. Wolf should recognize:

- A loss of $11,000.
- A gain of $1,000.
- No gain or loss.
- → A loss of $5,000.

The loss of $5,000 is computed as the fair value of the asset given ($35,000) minus its book value ($40,000). The loss can also be computed as the "plug" that balances debits and credits.

The patent is debited for a net amount equal to the fair value of the assets given of $29,000 ($35,000 machine given − $6,000 cash received). The company then removes the book value of the old machine ($40,000) and debits cash for the amount received ($6,000). The difference is a debit to loss of $5,000.

References

Multiple Choice	Learning Objective: 10-06 Determine the initial cost of property, plant, and equipment and intangible assets acquired in exchange for other nonmonetary assets.

Processing math: 100%

12. Award: **0.55 points**

Which of the following situations would disqualify interest from being capitalized as part of an asset's cost?

- The asset is being constructed as a discrete project with the intent to be sold.
- → The asset includes inventory that is routinely manufactured by the company.
- The asset is being constructed for the company's own use.
- The interest is incurred during the construction period of the asset.

Interest is capitalized during the construction period for (a) assets built for a company's own use as well as for (b) assets constructed as discrete projects for sale or lease. Excluded from interest capitalization are projects related to inventories routinely manufactured in large quantities on a repetitive basis and assets that already are in use or are ready for their intended use.

References

Multiple Choice	Learning Objective: 10-07 Identify the items included in the cost of a self-constructed asset and determine the amount of capitalized interest.

Processing math: 100%

13. Award: **0.55 points**

The specific interest and the weighted-average interest methods for determining capitalized interest will yield the same results *except* when:

- → Construction debt interest rates differ from the rates of other interest-bearing debt.
- Construction debt interest rates are the same as the rates of other interest-bearing debt.
- There is no construction-related debt.
- There is no interest-bearing debt other than construction related.

If the specific interest rate is different from the weighted-average interest rate on all other interest bearing debt, then two different amounts of capitalized interest will result.

References

Multiple Choice	Learning Objective: 10-08 Explain the difference in the accounting treatment of costs incurred to purchase intangible assets versus the costs incurred to internally develop intangible assets.

Processing math: 100%

14. Award: 0.55 points

Micro Tech, Incorporated made the following cash expenditures during the current year related to the development of a new technology which was patented at the end of the year:

Materials and supplies used	$ 38,000
R&D salaries	120,000
Patent filing fees	3,000
Payments to external consultants	50,000
Purchase of R&D equipment	140,000

The equipment purchased has no future use beyond the current project. $10,000 of the materials and supplies used and $32,000 in salaries relate to the construction of prototypes. In its current-year financial statements, Micro Tech should report research and development expenses of:

- $306,000
- $208,000
- → $348,000
- $351,000

$38,000 (materials and supplies used) + $120,000 (R&D salaries) + $50,000 (payments to external consultants) + $140,000 (purchase of R&D equipment).

References

Multiple Choice

Learning Objective: 10-08 Explain the difference in the accounting treatment of costs incurred to purchase intangible assets versus the costs incurred to internally develop intangible assets.

Processing math: 100%

15. Award: **0.55 points**

A company incurred the following costs related to research and development for the current year:

Salaries for research employees	$ 500,000
Developed technology purchased in a business acquisition	250,000
In-process R&D purchased in a business acquisition	150,000
Supplies used in research projects	120,000
Research performed for sale to another company in the future	80,000

For what amount should the company report research and development expense?

- $1,100,000
- $770,000
- $700,000
- → $620,000

R&D expense = $500,000 (Salaries) + $120,000 (Supplies used)

References

Multiple Choice

Learning Objective: 10-08 Explain the difference in the accounting treatment of costs incurred to purchase intangible assets versus the costs incurred to internally develop intangible assets.

Processing math: 100%

16. Award: 0.55 points

Which of the following best justifies the FASB's approach to reporting research and development costs?

- The amounts and timing of future benefits related to research and development costs are difficult to determine so those costs are expensed immediately.
- Some companies prefer to capitalize research and development to report higher profitability so the FASB allows capitalization for those that voluntarily choose to do so.
- Most companies spend minor amounts on research and developments so those costs are expensed for practical expediency.
- Companies are allowed to capitalize research and development costs when it is probable those costs will lead to future benefits.

The FASB takes a conservative approach and requires R&D costs to be expensed immediately.

References

Multiple Choice	Learning Objective: 10-08 Explain the difference in the accounting treatment of costs incurred to purchase intangible assets versus the costs incurred to internally develop intangible assets.

Processing math: 100%

17. Award: **0.55 points**

Which of the following is most likely to be classified as research and development costs?

- Quality control during commercial production including routine testing of products.
- Adaptation of an existing capability to a particular requirement or customer's need as a part of a continuing commercial activity.
- → Design, construction, and testing of preproduction prototypes and models.
- Routine ongoing efforts to refine, enrich, or other improve on the qualities of an existing product.

In general, R&D costs pertain to activities that occur prior to the start of commercial production. Commercial production most often refers to the point in time where the company has no other plans to materially change the product prior to beginning production for intended sales to customers.

References

Multiple Choice	Learning Objective: 10-08 Explain the difference in the accounting treatment of costs incurred to purchase intangible assets versus the costs incurred to internally develop intangible assets.

Processing math: 100%

18. Award: 0.65 points

Which of the following costs would be capitalized?

- An asset purchased for a specific R&D project if the asset's useful life extends beyond the current year.
- → R&D purchased in a business combination that has not yet reached the point of technological feasibility.
- Start-up costs from introducing operations in a new territory.
- None of these answer choices are correct.

For in-process R&D (technology that has not reached the feasibility stage), GAAP requires capitalization at its fair value. All of the other costs listed are expensed as incurred.

References

Multiple Choice	Learning Objective: 10-01 Identify the various costs included in the initial cost of property, plant, and equipment, natural resources, and intangible assets.

Processing math: 100%